

PHOTO BY HEMANT MISHRA

**ALL STAKEHOLDERS ARE**

upbeat about the way global capability centres (GCCs) are evolving in India. Major hubs for GCCs like Bengaluru and Pune are nearing saturation, with operational costs rising faster than salaries. In an exclusive interaction, Arindam Sen, Partner and GCC Sector Leader – Technology, Media & Entertainment, and Telecommunications at EY India, discusses how India's GCCs have transformed from simple back-office support units to global innovation powerhouses. Edited excerpts:



How have GCCs evolved over the past two decades? What kind of work are they doing today?

Over the past 20-25 years, India's GCC industry has evolved from providing low-cost, transactional services across IT, finance and human resources to driving enterprise-wide innovation, transformation and global mandates. Around 2015-16, a significant shift began. GCCs moved up the value chain from support services to product development, large-scale tech implementation and leveraging AI, analytics and customer experience to drive innovation from India to the world. In finance, too, the journey has moved from basic processing to transformation and even into adjacent domains like procurement and supply chain. Today, GCCs own end-to-end responsibilities, lead global initiatives and play a strategic role in enterprise growth. Roughly, the top 40-45% of GCCs are now at the forefront of global innovation, delivering high-value outcomes from India.

GCC GROWTH TO BE STRONGEST IN PHARMA, RETAIL

Arindam Sen of EY India on how stronger IP protection and Tier II cities, among others, would drive the next leg of GCC expansion

BY RAHUL OBEROI